

Introduction

Overview

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Segment Analysis

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# Customer Segmentation Report

## Executive Summary

- **The Project goal:** identify distinct customer groups based on purchasing behaviour to support targeted marketing and retention strategies.
- **Data:** orders from a global electronics retailer from 2016 to February 2021 across 8 countries, spanning both online and in-store channels. Analysis reference date: 31 March 2021.

15,266

Registered  
Customers

26,326

Distinct Orders

2,517

Products

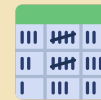
67

Stores

## Key Metrics:



**Recency:** Months since last order



**Frequency:** Orders per month (relative to customer tenure)



**Monetary:** Total Spending (Revenue)

## Data Processing:



**MySQL:** data cleaning and RFM segmentation



**Power BI:** visualization and interactive reporting

## Segment



Whale

VIP

Potential Loyal

New Customer

Loyal Customer

Lapsing

Hibernated

Big Spender

At Risk

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Country

All

Year

All

Product Categ...

All

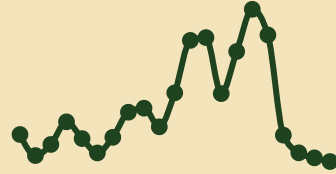
Order Type

All

# Overview

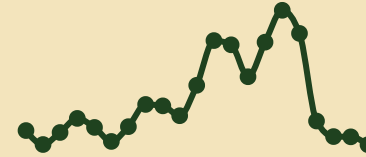
55.76M

Total Revenue (USD)



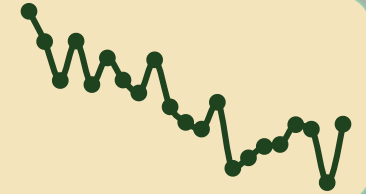
11887

Active Customers

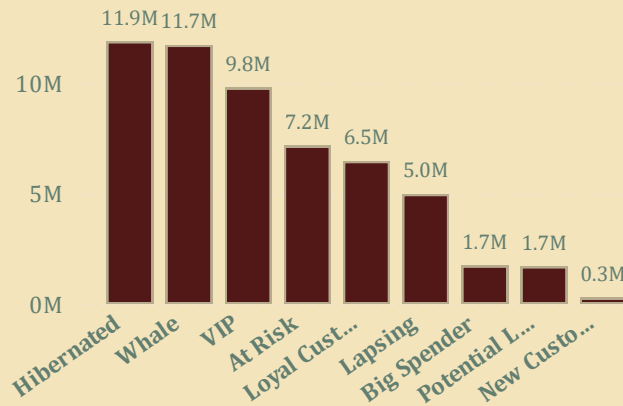


2,117.89

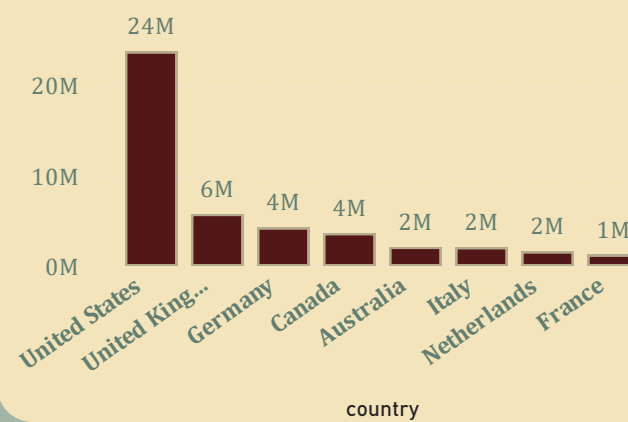
Average Order Value



## Total Revenue by Segment



## Total Revenue by Country



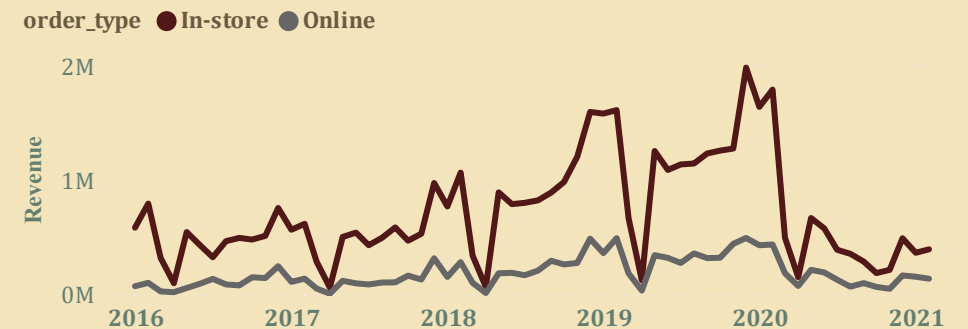
- **Whale** generate nearly equal revenue to **Hibernated** despite the size difference.
- **In-store** consistently outperform (even during the Pandemic).
- **Hibernated** makes up ~38% amount of the customers.
- **Customer acquisition** peaked in **2018-2019** => revenue growth, but decline drastically after.
- **Revenue** dips every **April** => possibly pull back behavior after holiday sseason.

## Customers Segment



Customer Count

## Revenue by Order Type



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Country

All

Year

All

Segment

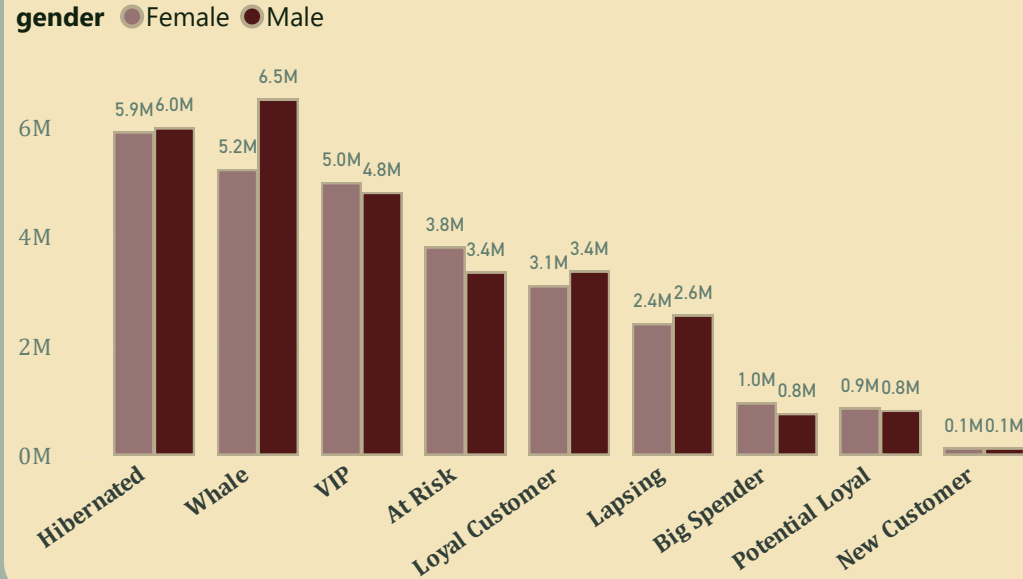
All

Order Type

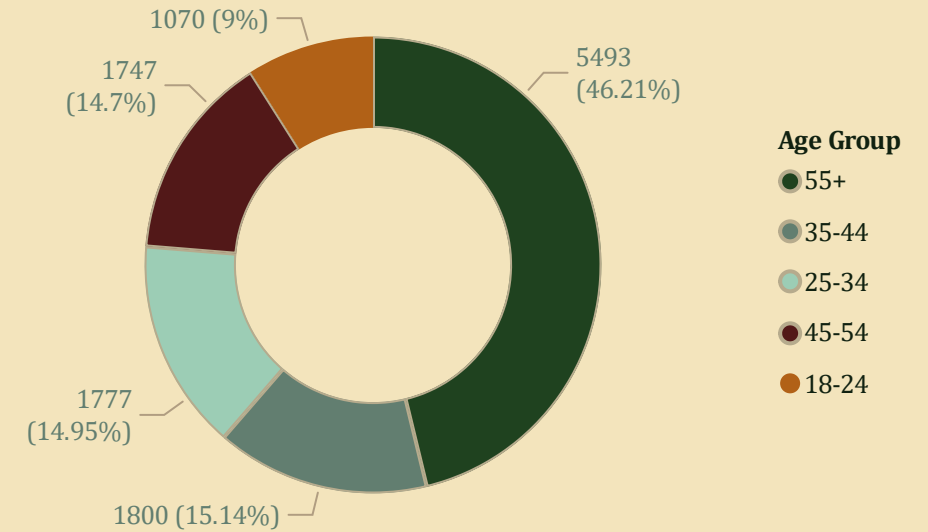
All

# Demographic

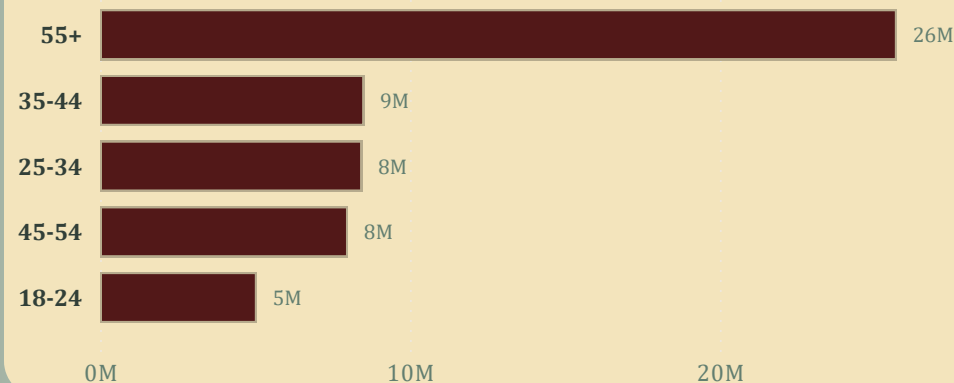
*Total Revenue by Segment & Gender*



*Customer count by Age Group*



*Total Revenue by Age Group*



- **55+** group generate ~46% total **Revenue** while also being the biggest group.
- **Revenue** distribution mirrors **customers** distribution across all **Age Group**.
- **Male Whale** out perform by **25%** (6.5M vs 5.2M).
- **Female** leads in **At Risk**.
- The majority of revenue comes from no longer active customers (**Hibernated**).

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Country

All

Gender

All

Segment

All

# Segment Analysis

0.08

Avg Frequency

20.99

Avg Recency (months)

4,690.46

Avg Monetary

## Segment Comparison

Hibernated

VIP

4539

Customer  
count

1451

11.90M

Total  
Revenue

9.80M

2,622.30

Avg spending  
per Customer

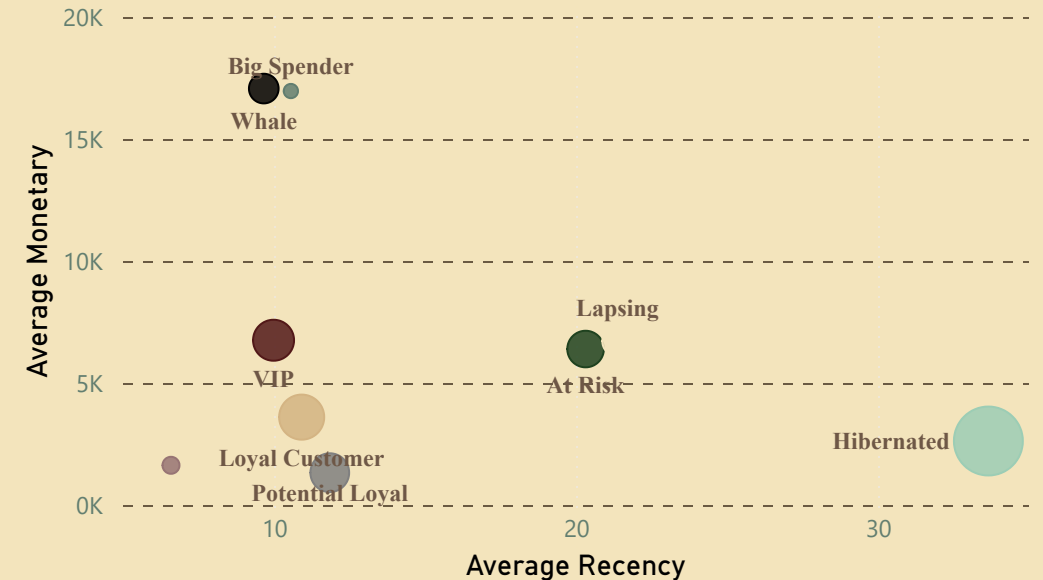
6,752.34

21.35

% of total  
Revenue

17.57

## Segments Profile Matrix



- **Whale** spend averagely nearly 5 times more compared to **Loyal Customer** (17K vs 3.6K)
- **At Risk** also generate higher revenue than **Loyal Customer** with smaller population.
- **New customer** is the smallest with the least revenue, signaling slow customer acquisition rate.

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year

All

month

All

Segment

All

Month After

All

# Retention Rate

3.21

Avg 1 month Retention Rate

7,167

Returning Customers

17.39

Peak Retention Rate

199.85

Avg Monthly New Customer

*Return Customer by month*

| Year  | 1   | 2   | 3   | 4   | 5   | 6   | 7   | 8   | 9  |
|-------|-----|-----|-----|-----|-----|-----|-----|-----|----|
| 2016  | 55  | 42  | 39  | 47  | 48  | 47  | 46  | 40  | 5  |
| 2017  | 33  | 53  | 45  | 44  | 74  | 60  | 61  | 69  | 7  |
| 2018  | 120 | 126 | 130 | 112 | 124 | 133 | 169 | 135 | 16 |
| 2019  | 147 | 116 | 126 | 131 | 123 | 127 | 130 | 113 | 11 |
| 2020  | 27  | 5   | 6   | 12  | 11  | 8   | 5   | 10  |    |
| Total | 382 | 342 | 346 | 346 | 380 | 375 | 411 | 367 | 40 |

*Cohort Retention Rate (%) by month*

| Year    | 1    | 2    | 3    | 4    | 5    | 6    | 7    | 8   |
|---------|------|------|------|------|------|------|------|-----|
| 2016    | 2.15 | 1.64 | 1.52 | 1.84 | 1.87 | 1.84 | 1.80 | 1.5 |
| 2017    | 1.39 | 2.23 | 1.89 | 1.85 | 3.11 | 2.53 | 2.57 | 2.5 |
| 2018    | 3.87 | 4.06 | 4.19 | 3.61 | 3.99 | 4.28 | 5.44 | 4.2 |
| 2019    | 5.19 | 4.10 | 4.45 | 4.63 | 4.34 | 4.48 | 4.59 | 3.5 |
| 2020    | 2.85 | 0.53 | 0.63 | 1.27 | 1.16 | 0.84 | 0.53 | 1.0 |
| Average | 3.21 | 2.88 | 2.91 | 2.91 | 3.20 | 3.15 | 3.46 | 3.0 |

- **Average retention** of 3.21% after 1 month => ~97% of customers do not return the following month after their first purchase.
- **Monthly retention** varies significantly (~0-17%), suggesting **sporadic repurchase behavior** rather than consistent loyalty.
- **At Risk** have the widest range in **Average retention rate** (~3.39-9.55), peak retention rivals the highest performers while their floor still exceeds most segments.

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# Recommendation

## ***PROTECTING***

- For **Whale, VIP** and **Loyal Customers**.
- Exclusive offer, early access/release.
- Set up **Recency** warning, personal reach-out after about every **2-3 months**.
- Target **55+** group, dominating both segments, especially **Male Whale**

## ***WIN BACK***

- Most likely for **Lapsing** and **At Risk**.
- **At Risk** is highly reactive within **6 months** from last order (Averagely **~7-9% Retention Rate**) => best time to win back.
- **Lapsing** spend more, less often, push for **relevance (new category)**.
- **Female** in **At Risk** generate more revenue => **gender-specific** offer recommened.

## ***REACTIVATING***

- For **Hibernated**.
- Reach out after **~25 months** base on average **Recency**.
- **New drops** campaign will fit more, since they have decent **average spending**, just long **inactivity**.
- **Online** will be a better approach.

## ***DEVELOPING***

- For **New** and **Potential Loyal**.
- **~97%** of **New Customers** don't come back after **1 months** => leverage the **1<sup>st</sup> 90 days** to keep them engaged.
- **Potential Loyal** are active quite **recent** but but not committed => **more offers and loyalty programs**
- Utilise Online channel more to acquire and keep more New Customers